

**Dividends Received, Taxable Dividends Paid, and
Part IV Tax Calculation (2019 and later tax years)**

Corporation's name	Business number	Year	Tax year-end Month	Day

- Corporations must use this schedule to report:
 - non-taxable dividends under section 83
 - deductible dividends under subsection 138(6)
 - dividends deductible from taxable income under section 112, subsections 113(2) and 138(6), and paragraphs 113(1)(a), (a.1), (b), (c) or (d)
 - taxable dividends paid in the tax year that qualify for a dividend refund (see page 3)
- All legislative references are to the federal Income Tax Act.
- The calculations in this schedule apply only to private or subject corporations (as defined in subsection 186(3)).
- A payer corporation is **connected** with a recipient corporation at any time in a tax year, if at that time the recipient corporation meets either of the following conditions:
 - it controls the payer corporation, other than because of a right referred to in paragraph 251(5)(b)
 - it owns more than 10% of the issued share capital (with full voting rights), and shares that have a fair market value of more than 10% of the fair market value of all shares of the payer corporation
- If you need more space, continue on a separate schedule.
- File this schedule with your T2 Corporation Income Tax Return.

Part 1 – Dividends received in the tax year

- Do **not** include dividends received from foreign non-affiliates.
- Complete columns B, C, D, I, and J **only** if the payer corporation is **connected**.

Important instructions to follow if the payer corporation is connected

- If your corporation's tax year-end is different than that of the **connected** payer corporation, dividends could have been received from more than one tax year of the payer corporation. If so, **use a separate line** to provide the information according to each tax year of the payer corporation.
- When completing columns K and L, use the **special calculations provided in the notes**.

A Name of payer corporation (from which the corporation received the dividend)	B Enter 1 if payer corporation is connected	C Business number of connected corporation
200	205	210

D Tax year-end of the payer corporation in which the sections 112/113 and subsection 138(6) dividends reported under column 240 were paid YYYYMMDD	E Non-taxable dividends under section 83	F Taxable dividends deductible from income under paragraph 113(1)(c)	G Taxable dividends deductible from taxable income under section 112, subsections 113(2) and 138(6), and paragraphs 113(1) (a), (a.1), (b), or (d) ¹	H Eligible dividends included under column 240
220	230	235	240	242

Total of column E _____
(enter amount on line 402 of Schedule 1)

Total taxable dividends deductible reported under column 235	1A
Total taxable dividends deductible reported under column 240	1B
Subtotal (amount 1A plus amount 1B, include this amount on line 320 of the T2 return)	1C
Eligible dividends received from connected corporations (total amounts from column H with code 1 in column B)	1D
Eligible dividends received from non-connected corporations (total amounts from column H with no code in column B)	1E

¹ If taxable dividends are received, enter the amount in column G, but if the corporation is not subject to Part IV tax (such as a public corporation other than a subject corporation as defined in subsection 186(3)), enter "0" in column L (and column K, if applicable). Life insurers are not subject to Part IV tax on subsection 138(6) dividends.

Part 1 – Dividends received in the tax year (continued)

I	J	K	L	M
Total taxable dividends paid by connected payer corporation (for tax year in column D)	Dividend refund of the connected payer corporation (for tax year in column D) ²	Part IV tax for eligible dividends. Dividends (from column H) multiplied by 38 1/3% ³	Part IV tax before deductions. Dividends (from column G) multiplied by 38 1/3% ⁴	Part IV tax before deductions on taxable dividends received from connected corporations ⁵
250	260	265	275	280
Total of column M				

Total of column M

(enter amount on line 2E in Part 2)

Part IV tax before deductions on taxable dividends received from connected corporations

Part IV tax before deductions on taxable dividends received from connected corporations (total amounts from column L with code 1 in column B)	1F
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Part IV tax before deductions on taxable dividends received from non-connected corporations

Part IV tax before deductions on taxable dividends received from non-connected corporations (total amounts from column L with no code in column B)	1G
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Subtotal (amount 1F plus amount 1G)	▶	1H
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Part IV tax on eligible dividends received from connected corporations (total amounts from column K with code 1 in column B)

Part IV tax on eligible dividends received from non-connected corporations (total amounts from column K with no code in column B)

Subtotal (amount 1I plus amount 1J)	▶	1K
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Part IV tax before deductions on taxable dividends (other than eligible dividends) (amount 1H minus amount 1K)	1L
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² If the **connected** payer corporation's tax year ends after the corporation's balance-due day for the tax year (two or three months, as applicable), you have to estimate the payer's dividend refund when you calculate the corporation's Part IV tax payable.

³ For eligible dividends received from **connected** corporations, Part IV tax on dividends is equal to column J **divided** by column I **multiplied** by column H.

⁴ For taxable dividends received from **connected** corporations, Part IV tax on dividends is equal to column J **divided** by column I **multiplied** by column G.

⁵ For the purpose of calculating your eligible refundable dividend tax on hand (ERDTH), Part IV tax on taxable dividends received from **connected** corporations (with a tax year starting after 2018) is equal to the sum of Part IV tax on eligible dividends and non-eligible dividends received from **connected** corporations to the extent that such dividends caused a dividend refund to those corporations from their ERDTH.

Part IV tax before deductions on taxable dividends received from **connected** corporations for purposes of column M is the lesser of the Part IV tax applicable to such taxable dividends and the sum of (i) and (ii), where

(i) Part IV tax on eligible dividends received from **connected** corporations is equal to amount CC of the **connected** payer corporation (on page 7 of the T2 return) **divided** by line 465 of the **connected** payer corporation, **multiplied** by column H; and

(ii) Part IV tax on non-eligible dividends received from **connected** corporations is equal to amount II of the **connected** payer corporation (on page 7 of the T2 return) **divided** by line 470 of the **connected** payer corporation, **multiplied** by the difference between columns G and H.

Part 2 – Calculation of Part IV tax payable

Is your corporation an exempt corporation for the purposes of Part IV tax as per subsection 186.1(b)(ii) or (vii) of the Act? **100** ☐ Yes ☐ No

If **yes**, proceed to Part 3.

If **no**, complete the rest of Part 2.

Part IV tax on dividends received before deductions (amount 1H in part 1) 2A

Part IV.I tax payable on dividends subject to Part IV tax (from line 360 of Schedule 43) **320**

Subtotal (amount 2A **minus** line 320) 2B

Current-year non-capital loss claimed to reduce Part IV tax **330**

Non-capital losses from previous years claimed to reduce Part IV tax	335
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Current-year farm loss claimed to reduce Part IV tax	340
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Farm losses from previous years claimed to reduce Part IV tax	345
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Total losses applied against Part IV tax (total of lines 330 to 345) 2C

Amount 2C **multiplied** by 38 1/3% 2D

Part IV tax payable (amount 2B minus amount 2D, if negative enter "0") **360**
(enter amount on line T12 of the T2 return)

Part 2 – Calculation of Part IV tax payable (continued)

If your tax year begins after 2018, complete the following part to determine the required amount of Part IV taxes payable in order to calculate the eligible refundable dividend tax on hand (ERDTH) at the end of the tax year.

Part IV tax before deductions on taxable dividends received from connected corporations (total of column M in part 1)	2E
Amount 4A from Schedule 43	2F
Part IV tax payable on taxable dividends received from connected corporations (amount 2E minus amount 2F, if negative enter "0")	2G
(enter at amount C on page 7 of the T2 return)	
Part IV tax on eligible dividends received from non-connected corporations (amount 1J in part 1)	2H
Amount 4C from Schedule 43	2I
Part IV tax payable on taxable dividends received from non-connected corporations (amount 2H minus amount 2I, if negative enter "0")	2J
(enter at amount D on page 7 of the T2 return)	

Part 3 – Taxable dividends paid in the tax year that qualify for a dividend refund

If your corporation's tax year-end is different than that of the recipient corporation with which you are connected, your corporation could have paid dividends in more than one tax year of the recipient corporation. If so, use a separate line to provide the information according to each tax year of the recipient corporation.

N Name of recipient corporation with which you are connected 400	O Business number 410	P Tax year-end of recipient corporation in which the dividends reported under column 430 were received YYYYMMDD 420	Q Taxable dividends paid to recipient corporations with which you are connected 430	R Eligible dividends included under column 430 440

(Total of column Q) (Total of column R)

Total taxable dividends paid in the tax year to other than connected corporations	450	
Eligible dividends included in line 450	455	
Total taxable dividends paid in the tax year that qualify for a dividend refund (total of column Q plus line 450)	460	
Total eligible dividends paid in the tax year (total of column R plus line 455)	465	
Total non-eligible taxable dividends paid in the tax year (line 460 minus line 465)	470	
Complete this part to determine the following amounts in order to calculate the dividend refund.		
Line 465 multiplied by 38 1/3%		3A
(enter at amount AA on page 7 of the T2 return)		
Line 470 multiplied by 38 1/3%		3B
(enter at amount DD on page 7 of the T2 return)		

Part 4 – Total dividends paid in the tax year

Complete this part **if** the total taxable dividends paid in the tax year that qualify for a dividend refund (line 460) is different from the total dividends paid in the tax year.

Total dividends paid in the tax year	500	_____	
Dividends paid out of capital dividend account	510	_____	
Capital gains dividends	520	_____	
Dividends paid on shares described in subsection 129(1.2)	530	_____	
Taxable dividends paid to a controlling corporation that was bankrupt at any time in the year	540	_____	
Subtotal (total of lines 510 to 540)		=====	▶ _____ 4A
Total taxable dividends paid in the tax year that qualify for a dividend refund (line 500 minus amount 4A)		=====	_____ 4B